



The T2 Short Return

Who can use the T2 Short Return?

The T2 Short Return is a simpler version of the T2 Corporation Income Tax Return. There are two categories of corporations that are eligible to use this return. You can use this return if the corporation is:

- a Canadian-controlled private corporation throughout the tax year and has either a loss or a nil net income for income tax purposes this year
- exempt from tax under section 149 of the Income Tax Act (such as a non-profit organization)

In addition, the corporation must meet **all** of the following conditions to use this return:

- it has a permanent establishment in only one province or territory
- it is not claiming any refundable tax credits (other than a refund of instalments paid)
- it did not receive or pay out any taxable dividends
- it is reporting in Canadian currency
- it does not have an Ontario transitional tax debit
- it does not have an amount calculated under section 34.2 of the Income Tax Act

File a regular T2 Corporation Income Tax Return if the corporation does not fit into either of the above categories or does not meet all of the above conditions.

Except for Quebec and Alberta, the T2 Short Return also serves as a provincial or territorial income tax return.

What should you attach to the T2 Short Return?

There are three General Index of Financial Information (GIFI) schedules you have to attach to this return*:

- Schedule 100, Balance Sheet Information, showing the financial position of the corporation at the end of the tax year
- Schedule 125, Income Statement Information, showing the corporation's income and expenses for the year (if the corporation did not earn any income or incur any expenses, simply state "no income" or "no expenses")
- Schedule 141, Notes Checklist, for any notes to the financial statement information and to indicate the involvement of an accountant

For more information, see guide RC4088, General Index of Financial Information (GIFI).

* If your corporation is inactive (you answered **yes** on line 280) and there is no balance sheet or income statement information to report, you do not have to attach these schedules.

Depending on the circumstances, you may have to attach other forms or schedules, like Schedule 1, Schedule 8 and Schedule 50. For more information, see page 2 of the T2 Short Return and the T2 Guide. For your convenience, this package includes the short version of Schedule 1.

Note

If you need a copy of guide T4012, T2 Corporation – Income Tax Guide, or other schedules, go to **canada.ca/cra-forms** or call **1-800-959-5525**. If you need any additional information to help you complete this return, call Business Enquiries at **1-800-959-5525**.



Net Income (Loss) for Income Tax Purposes

Protected B when completed

Corporation's name	Business number	Year	Tax year-end Month	Day
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- Use this schedule to reconcile the corporation's net income (loss) as reported on the financial statements with its net income (loss) for tax purposes. For more information, see guide T4012, T2 Corporation – Income Tax Guide.
- All legislative references are to the Income Tax Act.

Net income (loss) after taxes and extraordinary items from line 9999 of Schedule 125 A

Add:

Provision for income taxes – current	101	
Provision for income taxes – deferred	102	
Amortization of tangible assets	104	
Amortization of intangible assets	106	
Recapture of capital cost allowance from Schedule 8	107	
Loss on disposal of assets	111	
Charitable donations and gifts from Schedule 2	112	
Taxable capital gains from Schedule 6	113	
Depreciation in inventory – end of year	117	
Non-deductible meals and entertainment expenses	121	
Other reserves on lines 270 and 275 from Schedule 13	125	
Income or loss for tax purposes – partnerships	129	
Income or loss for tax purposes – joint ventures	132	

Other additions (If you need more space, attach additional schedules):

Description	Amount
605	295
Total of column 2	

296
500
Subtotal (amount A plus line 500) B

Deduct:

Bad debt	304	
Equity in income from subsidiaries or affiliates	306	
Book income of joint venture	348	
Book income of partnership	349	
Gain on disposal of assets per financial statements	401	
Capital cost allowance from Schedule 8	403	
Terminal loss from Schedule 8	404	
Allowable business investment loss from Schedule 6	406	
Holdbacks	408	
Other reserves on line 280 from Schedule 13	413	
Contributions to deferred income plans from Schedule 15	417	
Incorporation expenses under paragraph 20(1)(b)	418	

Other deductions (if you need more space, attach additional schedules):

Description	Amount
705	395
Total of column 2	

396
510

Total of lines 304 to 418 and line 396
Net income (loss) for income tax purposes – amount B minus line 510 C

Enter amount C on line 300 on page 1 of the T2 Short Return. If the amount on line C is a positive amount, and the corporation is not exempt from tax under section 149, file a regular T2 Corporation – Income Tax Return.

Attachments

Financial statement information: Use GIFI schedules 100, 125, and 141.

Schedules – Answer the following questions. For each **yes** response, **attach** the schedule that applies to the T2 Short Return, unless otherwise instructed.

	Yes	Schedule
Is the net income/loss shown on the financial statements different from the net income/loss for income tax purposes?	201 ☐	1
Is the corporation claiming any type of loss?	204 ☐	4
Has the corporation realized any capital gains or incurred any capital losses during the tax year?	206 ☐	6
Does the corporation have any property that is eligible for capital cost allowance?	208 ☐	8
Is the corporation related to any other corporations?	150 ☐	9
Has the corporation had any transactions, including section 85 transfers, with its shareholders, officers, or employees, other than transactions in the ordinary course of business? Exclude non-arm's length transactions with non-residents	162 ☐	11
Is the corporation claiming deductible reserves?	213 ☐	13
Has the corporation paid any royalties, management fees, or other similar payments to residents of Canada?	164 ☐	14
Is the corporation claiming a deduction for payments to a type of employee benefit plan?	165 ☐	15
Is the corporation an associated CCPC?	160 ☐	23
For private corporations: Does the corporation have any shareholders who own 10% or more of the corporation's common and/or preferred shares?	173 ☐	50

Additional information

Is the corporation inactive? **280** Yes ☐ No ☐

Specify the principal products mined, manufactured, sold, constructed, or services provided, giving the approximate percentage of the total revenue that each product or service represents.

284 _____	285 _____ %
286 _____	287 _____ %
288 _____	289 _____ %

If the corporation's major business activity is construction, did you have any subcontractors during the tax year? **295** Yes ☐ No ☐

If this return was prepared by a tax preparer for a fee, provide their EFILE number **920** _____

Certification

I, **950** _____ **951** _____ **954** _____ ,
 Last name First name Position, office, or rank

am an authorized signing officer of the corporation. I certify that I have examined this return, including accompanying schedules and statements, and that the information given on this return is, to the best of my knowledge, correct and complete. I also certify that the method of calculating income for this tax year is consistent with that of the previous tax year except as specifically disclosed in a statement attached to this return.

955 _____ **956** _____
 Date (yyyy/mm/dd) Signature of the authorized signing officer of the corporation Telephone number

Is the contact person the same as the authorized signing officer? If **no**, complete the information below **957** Yes ☐ No ☐

958 _____ **959** _____
 Name of other authorized person Telephone number

Language of correspondence – Langue de correspondance

Indicate the language of correspondence by entering **1** for English or **2** for French. **990** ☐

Indiquez votre langue de correspondance en inscrivant **1** pour anglais ou **2** pour français.

Privacy statement

Personal information is collected for the purposes of the administration or enforcement of the Income Tax Act and related programs and activities including administering tax, benefits, audit, compliance, and collection. The information collected may be used or disclosed for purposes of other federal acts that provide for the imposition and collection of a tax or duty. It may also be disclosed to other federal, provincial, territorial or foreign government institutions to the extent authorized by law. Failure to provide this information may result in interest payable, penalties or other actions. Under the Privacy Act, individuals have the right to access their personal information, request correction, or file a complaint to the Privacy Commissioner of Canada regarding the handling of the individual's personal information. Refer to Personal Information Bank CRA PPU 047 on Info Source at canada.ca/cra-info-source.